The Legalwiz Guide to Limited Liability Companies

PROTECT YOUR ASSETS AND YOUR BUSINESS

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Introduction

Let me introduce myself. My name is William Bronchick, and I am an attorney. I can't help it, I was born that way, so don't hold it against me. This course is for you if:

- Law sounds like a foreign language to you
- You think lawyers charge too much (who doesn't?)
- You want to take responsibility for your business affairs
- You want to protect your assets from hungry lawyers and creditors
- You take the "bottom line," no-nonsense approach to things (like me)

This course is designed for people who want to use limited liability companies to limit their liability and reduce their income taxes. Because this book is designed for the individual or family business, I have intentionally omitted many details that apply to larger corporations or businesses. If, as I presume, you are at the beginning stages of the game, this course will be right up your alley. At some point, your business may outgrow this material, but the principles taught here will still apply, since they are the building blocks of your financial plan.

Can I Do It All Myself Without a Lawyer?

As a lawyer, I have to warn you to get legal advice before proceeding. However, I will leave that decision to you. The fact is, lawyers don't charge for what they do, they charge for what they know. Typically, a lawyer will struggle through the details of a legal transaction the first few times. After a while, he develops a library of forms on his computer. When a new client comes in, he takes the information (and a check) and hands it over to his secretary who then fills in the forms. The lawyer's work at this point is minimal; he is charging for what he has learned in the past.

If you feel uncomfortable about doing it all yourself, you can have a lawyer review the forms after you fill them out. Do *not* let a lawyer charge you simply to redraft the forms, as some lawyers like to do. You have to learn to maintain the paperwork for your own company, since your lawyer won't always be there to watch over you.

The legal concepts involved with starting and running a limited liability company are not difficult or complex. I will caution, however, that although you don't necessarily need a lawyer to accomplish any of the strategies in this course, you should consult a qualified tax advisor. The tax concepts are tricky, so you should run everything by your CPA, accountant or other tax advisor before proceeding.

As a final note on the topic of taxes, I think that you owe it to yourself and your wallet to learn the tax rules involved in small business. Federal, state and city income taxes, as well as estate taxes, can eat up as much as 50% of your profits if you fail to plan. Please note that this course is not intended to be a treatise on taxes, but rather an overview of concepts to look out for when planning your business. I make reference to several good publications throughout this course that can be obtained from the IRS (several can be found on the CD that accompanies this manual).

Good luck, and let me hear from you soon!

Your partner in success,

William Bronchick, JD

(PS - email me your questions or comments at bill@bronchick.com)

Chapter One

Introduction to Partnerships

A partnership is formed when two or more people go into business together with the intention of sharing profits and losses. A "person" also includes corporations, trusts and other entities. There is nothing formal required to create a partnership. In fact, a partnership is often formed on a handshake.

> *Example: Bob and Joe decide to sell ice cream. They rent an ice cream truck and drive around the neighborhood. At the end of each day, they split the cash. If there is a bad day, they both come out of pocket. This is a legal partnership.*

Sometimes, a partnership is formed by the parties signing a formal partnership agreement. Other times, a partnership is formed by accident as a matter of law.

> *Example: Stephanie and Laura share office space. The front of their office reads "Law Office". When clients come in off the street, they alternate who gets the client. They share a secretary and split all of the costs of the office. Stephanie is not a trial lawyer, but she occasionally goes to court to cover Laura's cases. Although Stephanie and Laura are not officially partners, they may be deemed partners as a matter of law.*

General Partnerships

The preceding examples of partnerships are referred to as *general partnerships.* In a general partnership, all partners typically have equal power to make decisions for the partnership. The provisions of partnership are governed by a partnership agreement. The partnership agreement may state that the partners have an equal vote or that the partners voice only counts as much as interest in the partnership. If there is no partnership agreement, then partnership is governed by state law. Most states have adopted the Uniform Partnership Act (UPA), which is a set of rules that govern how partnerships operate in the absence of an express agreement.

Partnership Debts

In a general partnership, all partners are liable for partnership debts. If the partnership heads for financial trouble, all partners (who haven't filed for bankruptcy) are personally liable for partnership debts if the partnership cannot pay its own debt.

Partner Liability

General partnerships afford no liability protection for its partners. General partners are jointly and severally liable for each other's negligent acts (e.g., auto accident, "slip and fall," etc.). Jointly means that if one partner causes the partnership to be sued, all partners are liable. Severally means that all partners are liable for 100% of the judgment. This means that if you are the silent partner who puts up and has the most money, you have the most to lose. Even if you are a 5% partner and did nothing wrong, a court can deem you 100% accountable for acts of your partners. While a general partnership is a simple and popular form of doing business, it can be hazardous to your financial health.

Limited Partnerships

A limited partnership, unlike a general partnership, requires an official act to be created. The partnership must file a Certificate of Limited Partnership with the state in which it is organized.

A limited partnership has at least one limited partner and one general partner. The general partners run the management of the partnership. The general partners also control the cash distributions to the partners. If, in the opinion of the general partners, the profits of the partnership should be reinvested rather than distributed to the partners, their decision is final.

Liability of General Partners

The general partners of a limited partnership have unlimited liability, as in a general partnership. Creditors of the partnership can look to the general partners' personal assets if the limited partnership's assets are insufficient. Furthermore, the general partners are liable to third parties for wrongful conduct from the partnership business (e.g., a slip and fall lawsuit). To remedy this situation, many people use a corporation as a general partner, so that no partner has personal liability.

Liability of Limited Partners

The limited partners generally have no liability beyond their contribution to the partnership. If the limited partnership business fails, the creditors generally cannot go after the limited partners for debts. Furthermore, limited partners are not personally liable for wrongful acts committed by the general partners. In exchange for this limited liability, the limited partners give up their right to participate in the control and management of the partnership. With certain exceptions, limited partners can be held personally liable for the partnership's debts only if they participate in the management.

Family Limited Partnership

A family limited partnership is a limited partnership comprised of family members. There is nothing special about a limited partnership comprised of family members, except as it applies to certain tax rules under the Internal Revenue Code (discussed later). The strategies and tactics discussed in this course for using limited partnerships will generally be limited to circumstances involving family members. Thus, I will use the term "family limited partnership" synonymously with limited partnership throughout this course.

Limited Liability Partnership

Many states have enacted a new entity called a limited liability partnership (LLP). The LLP is much like a general partnership, except it must be created formally by registering with the state. Such registration is usually accomplished by simply filing a document with a state agency and paying a fee. Most states permit an existing general partnership to convert to an LLP by registering with the state (also known as registered limited liability partnership or RLLP).

In some states, such as Colorado, the LLP will generally shield the individual partners from personal liability for ordinary partnership debts incurred after the registration. In other states, such as Nebraska, the LLP does not absolve the partners from ordinary partnership debts.

The main purpose of the LLP is that it shields individuals from liability for the negligent conduct of their partners. This protection is important in high-liability professional practices with several partners. However, the LLP does not protect the partners from their own negligent conduct. Thus, an LLP consisting of lawyers and doctors (sometimes called a professional limited liability partnership or PLLP) will shield the partners from lawsuits for malpractice of their partners, but not their own malpractice.

Joint Venture

A joint venture is a limited purpose general partnership. It begins and ends with an undertaking or venture. Compare a joint venture to a general partnership, which usually continues indefinitely, or until terminated by the death of a partner or some agreement.

All of the liability rules of general partnerships apply to joint ventures. However, since a joint venture is for a limited purpose, the joint venture partners are not liable for *all* acts of their partners. They are only liable for those liabilities or debts within the scope of the joint venture. Since a joint venture is usually more limited in scope than a general partnership, there is usually less risk of liability in a joint venture.

If you are partnering with an individual or company for a limited undertaking, you should consider drafting a joint venture agreement to define the scope of the venture. Drafting an agreement will prevent you from being held accountable for those liabilities which are outside the scope of the joint venture.

What is NOT a Partnership

There are certain situations that look like partnerships but are not partnerships at all. For example, if you share space with other vendors at a flea market, you are not partners. If you own property jointly with another you are not necessarily partners. Remember, a partnership requires an intent or agreement to engage in an undertaking for profit.

Chapter Summary

- Avoid general partnerships.
- Consider a limited liability partnership if you are a professional.
- Draft a joint venture agreement for limited purpose partnerships.

Chapter Two

Introduction to Limited Liability Companies

The American limited liability company came from a similar organization made popular in Germany and throughout Latin America. A limited liability company (LLC) is a cross between a corporation and a partnership. LLCs, like corporations, are a creation of state law, as compared to a partnership, which is recognized as part of English common law.

Formation

LLCs, like corporations, require the filing of an articles of organization with the state to be valid. Wyoming was the first state to recognize LLCs in the late 1970s. All 50 states and the District of Columbia now have LLC laws.

The LLC is owned by its members, which is another name for partners. Although not required by all states, the internal rules of the company are set forth in an operating agreement signed by the members. This agreement is similar to a partnership agreement. If there is no operating agreement, or if the operating agreement is silent on certain issues, state LLC laws will dictate the applicable rules. With few exceptions, the LLC members may agree to anything that is legal in the operating agreement.

Liability of Members

The members of an LLC, like limited partners, are not liable beyond their contributions to the company. Thus, if the company cannot pay its debts, the members are not liable for these obligations. If the company is sued, the members are not personally liable.

Management of the LLC

An LLC can be run by its members (member-managed) or by a designated manager (manager-managed). This designation must be stated in the company's articles of organization. A company can change its management at any time by filing an amendment to its articles of organization.

Member-Managed LLC

When the LLC is member-managed, it's just like a general partnership, with one notable exception: the members are not exposed to liability. All members of a member-managed LLC can participate in the management of the company, as well as sign obligations and contracts for the company. Members can also form a board of directors and appoint officers to run the operations of the company.

Manager-Managed LLC

If an LLC is manager-managed, it's similar in operation to a limited partnership. However, if the LLC is manager-managed, the members who are not also managers cannot execute legally-binding contracts for the company. The rules of the company are usually governed by a written agreement, called an operating agreement.

Tax Treatment

Federal Taxation

The IRS generally treats an LLC with two or more members as a partnership for tax purposes, unless the company affirmatively elects to be treated as a corporation by filing IRS form 8832 (Entity Classification Election). If it reports as a partnership, the company must file a federal partnership tax return, IRS form 1065, by April 15 of each year for the prior tax year.

The return is informational in nature, since the company itself does not pay any federal income tax. Thus, the LLC is treated as a pass-through entity; each member receives an IRS form K-1 that reflects his share of profits, losses and/or deductions that pass through the company.

Every state permits single-member LLCs, that is, an LLC with just one member/owner. It is difficult to imagine a partnership consisting of only one person. The IRS agrees, and has decided to treat one-member LLCs as though the LLC did not exist (disregarded entity). Thus, the member of a single-member LLC would report his income, loss and deductions on his federal tax return (unless, of course, the member was a corporation, in which case the corporation would report the income on its corporate return). Rental real estate owned by a single-member LLC would be reported on the member's personal income tax return on schedule E; income and loss from a business would be reported on schedule C.

However, at the state level, the LLC still exists for liability protection of the member. As we will discuss later, this non-recognition for federal income tax purposes makes the LLC a simple, yet effective device for titling rental real estate and other high-risk assets, without the headache of filing extra income tax returns.

Single Member LLC Filing as a Corporation

An LLC can choose (elect) to be treated as an "S" corporation instead of a disregarded entity. This requires filing IRS form 2253, then amending your operating agreement to be in conformity with the Subchapter S rules.

State Taxation

Most states also treat the LLC as a pass through entity and thus impose no separate income tax obligations on the company. However, a few states assess an additional tax at the state level as though the LLC were a corporation.

The Members

Members can be individuals, corporations, trusts or even other LLCs. Some states also permit professionals, such as doctors and lawyers, to form LLCs (also known as a professional limited liability company or PLLC). However, the PLLC, similar to an LLP, will not protect professionals from liability for their own malpractice.

Although the LLC may be an excellent tool for asset protection, it has not been tested in court as extensively as corporations. The LLC is a new creation in some states, and it's not clear what guidelines its members must follow to ensure their protection. Most experts, however, agree that the tests of legitimacy will be applied less stringently for an LLC than for a corporation. Further, an LLC formed in one state may not be treated the same under another state's law. Unlike with partnerships and corporations, there is no uniform law that has been adopted by a majority of states.

Chapter Summary

- A limited liability company is essentially the same as a partnership, but without liability for its members.
- A limited liability company can be managed by its members or by one or more managers.
- A one-person LLC is now permitted in most states.

Chapter Three

Comparison of LLCs to other Business Forms

In this chapter I will compare the limited liability company to other forms of doing business and analyze the various liability, tax and practical issues involved.

There are several issues you'll want to consider when choosing your business structure:

- How easy it is to create, run and dissolve the organization
- Tax savings and reporting requirements
- The burden of yearly paperwork
- Liability and asset protection
- Continuity of operation upon death of the owners

Sole Proprietorship

Formation

A sole proprietorship is just you doing business. There is no filing requirement and no formal paperwork, except if you do business under a fictitious or trade name. Then, you must usually file a doing business as (DBA) with your state, county, city and/or locality in which you do business. There are no other formalities involved in doing business as a sole proprietor other than local licensing fees that your city, county or state may charge. Obviously, this form of setting up your business is easy, fast and cheap.

Tax Implications

As a sole proprietor, you report your income, expenses, profits and losses on schedule C of your federal income tax return. Your profit is subject to personal income taxes rates, whether or not the money is taken out or reinvested in the business. Your schedule C income is also subject to self- employment tax of 12.4% percent up to the taxable limit of Social Security and 2.9% Medicare tax on all income earned (the good news, however, is that you receive a deduction on your federal income tax return for one-half of the self-employment tax).

Liability & Asset Protection

Your liability as a sole proprietor is unlimited because you and your business are one and the same. If your business is sued, your personal assets, your residence and your money are at risk. If your business goes bust, you must file for personal bankruptcy protection to avoid the business debts.

As we discovered in the previous chapters, members of an LLC are not personally liable for debts of the company. Limited partners are not personally liable for the debts of the limited partnership. General partners, however, are personally liable for debts of the limited partnership.

Continuity of Life

A sole proprietor's business dies with him. In theory, his heirs can inherit the equipment and inventory of the business and continue to operate it. However, the business' tax identification number is the proprietor's social security number. Thus, for tax purposes, the business ends with the proprietor's death.

LLCs can end by a vote of the members, upon the expiration of a period of time or upon the death or bankruptcy of one of the members. Some state LLC laws require the LLC to terminate after a certain period of time. An LLC operating agreement will usually state that upon the happening of certain events, the members can vote to continue the partnership or company.

General Partnership

Formation

As discussed in chapter 1, a general partnership is formed when two or more individuals or business entities agree to carry on business together for a profit. No formal written partnership agreement is required; a partnership can be made on a handshake. Like a sole proprietor's business, the general partnership is fast, easy and inexpensive to create.

Tax Implications

The partnership itself does not pay taxes; it files an informational tax return with the IRS. This return (IRS form 1065) simply summarizes the income, expenses, profits and losses of the partnership business. The bottom line profit or loss flows through to the partners who report their share of income or loss on schedule E of their personal income tax returns (the partnership will send each of the partners an IRS form K-1 which states the partner's share of profit or loss). This profit is subject to personal income taxes rates, whether or not the money is distributed or reinvested. This income is generally subject to self-employment tax.

A partnership may, in certain circumstances, permit its owners to allocate profits and losses in a manner inconsistent with their share of ownership. For example, a partner who puts up a significant amount of cash may insist on taking a greater share of the profit.

Liability Issues

A general partnership affords no liability protection for its partners. Partners are jointly and severally liable for each other's tortious acts (e.g., auto accident, slip and fall, etc). Jointly means that if one partner causes the partnership to be sued, all partners are liable; severally means that all partners are liable for 100% of the judgment. This means that if you are the silent partner who puts up and has the most money, you have the most to lose. Even if you are a 5% partner and did nothing wrong, you can still be held 100% accountable for acts of your partners. While a general partnership is a simple and popular form of doing business, it can be hazardous to your financial health.

Corporation

Formation & Operation

A corporation requires a filing of an articles or certificate of incorporation with the state. The corporation requires more formalities and paperwork than any of the above -de-scribed entities

Tax Implications

There are basically two types of corporations for tax purposes: C corporations and S corporations. A corporation is a C corporation by default; the S status must be elected.

A C or regular corporation files its own tax return (IRS form 1120) and pays taxes on its income. The good news is that the tax rates for regular corporations are usually lower than personal tax rates up to about $120,000. The bad news is that when profits are distributed, they are taxed again on the shareholders' personal income tax return. This is what we commonly call double taxation. However, C corporations can permit employees to take certain fringe benefits, such as health plans, medical reimbursements and life insurance (under current tax laws, 100% deductions for your medical insurance premiums is available for all individuals, LLCs and partnerships). None of these benefits are taxable to the employee, and the expense is 100% deductible to the corporation.

An S corporation is taxed like a partnership in that it files an informational return (IRS form 1120-S) and the profits and losses flow through to the shareholders. An S corporation, like a partnership, sends each of its shareholders an IRS form K-1 which states the shareholder's share of profit or loss. This profit is not normally subject to self-employment tax. Unlike a C corporation, the S corporation does not have the same fringe benefits, but it still has tax advantages over a sole proprietorship.

> *Example:* *Joe's Deli is run by Joe, a sole proprietor, whose business has a net profit of about $50,000 a year. His income is reported on schedule C of his personal income tax return. Joe pays personal income tax and self-employment tax on $50,000 (Joe does, however, receive a credit on his federal income tax return for ½ of the self- employment tax).*
>
> *If Joe incorporated his business and chose an S election, he could pay himself a $25,000 salary, leaving the corporation with a $25,000 net profit, which would pass through to its shareholder, our friend Joe. His total federal income tax liability would not change, but the corporate profits ($25,000) would not be subject to 15.3% self- employment tax. Joe would save several thousand dollars by simply changing the form of his business.*

If you have a regular salaried job and a side business, an S corporation can be of great benefit. This is because year-end losses in your S corporation flow through the same as profits (subject to some limitations). These losses can be used to offset your other income, which will give you some tax savings. These types of losses are generally not available with a regular C corporation.

Comparison of the LLC and the S Corporation

As you may have noticed, the LLC and the S corporation are nearly identical in that both offer complete liability protection and both avoid double taxation.

The most notable difference between the LLC (taxed as a partnership) and the S corporation is that LLC members can allocate profits and losses in a ratio that may be different than their percentages of ownership. S corporation shareholders must take their profits and losses in direct proportion to their share of ownership in the corporation. In addition, all LLC members have an increased basis for their share of partnership (non-recourse) debt (see chapter 5); S corporation shareholders cannot use the corporation's debt to increase their basis. Furthermore, actively earned income in an LLC is subject to self-employment tax; S corporation distributions are generally not subject to self-employment tax.

Finally, LLCs have no restrictions on who can be a member. S corporation shareholders have limitations on the number, type and residency of the owners. For example, an S corporation shareholder cannot be a corporation, LLC or non-U.S. citizen. There are no such restrictions for LLC members.

Liability and Asset Protection Issues

A corporation provides liability protection for its owners, the shareholders. This means that if the corporation was sued or was unable to pay its debts, the shareholders would not be personally liable. Likewise, the members of an LLC and the limited partners of a limited partnership are not personally responsible for company debts or liabilities. On the other hand, general partners of a limited partnership *are* personally liable for partnership debts. Furthermore, general partners can be sued personally for the wrongdoing of the limited partnership.

Corporate shareholders are not afforded asset protection from personal creditors, that is, a judgment creditor of a corporate shareholder can attach the debtor's stock to satisfy the judgment. From there, the creditor could force you off the board of directors and liquidate the assets of the company. As we will discuss in the next chapter, an LLC membership interest is not easily attachable by a judgment creditor.

WHAT IS A JUDGMENT CREDITOR?

A judgment creditor is a person or entity that has sued a debtor and obtained a court judgment. This judgment allows a creditor to attach and seize, though legal means, any property of the debtor that is not exempt under state or federal law.

Chapter Summary

- Partnership LLCs provide asset protection and pass-through treatment.
- An S corporation election for an LLC has better tax benefits than single-member LLCs for actively-earned income.

Chapter Four

Asset Protection Features

One of most popular features of limited liability companies is the asset protection it affords its owners. After reading this chapter, you will be convinced that holding assets in your own name is the most foolish thing you can do if you want to preserve your wealth.

Let us first define what I mean by lawsuit protection. Lawsuit protection refers to avoiding personal liability for debts and obligations.

> <u>*Example*</u>*: Eddie Employer owns a business that is a sole proprietorship. Eddie's office manager, Harvey Hotpants, sexually harasses Vicky Victim, a co-worker. Vicky Victim can sue Harvey Hotpants and Eddie (an employer is vicariously liable for his employee's actions that are within the scope of his employment).*

If Eddie's business were a limited liability company, the employer would be the LLC, not Eddie personally. Eddie would not be held liable unless it can be proven he was personally at fault. The LLC would give Eddie lawsuit protection in this circumstance.

LLCs Offer Lawsuit Protection

As you can see, sole proprietorships and general partnerships offer absolutely no lawsuit protection, whereas LLCs, like corporations, offer excellent lawsuit protection.

LLCs Offer Asset Protection

First, let me define what I mean by asset protection. Asset protection means protection of your assets from creditors. Generally, a judgment creditor is free to take anything you own in your name, including cash, stocks (even the stock of your own small business), houses, cars, etc. The creditor asks the court for an order of attachment, which directs the local sheriff to seize your assets and sell them to satisfy your debts.

An LLC Interest Cannot Be Attached

Creditors of a member cannot use or benefit from your LLC property. Furthermore, a membership interest is something that cannot be taken away from you by a creditor. A creditor's remedy is limited by state laws, which were drafted to prevent a creditor of one partner from disrupting an otherwise stable business. If a creditor were permitted to take partnership property of one partner, the other partners would be unfairly punished.

A Creditor's Remedy Is Generally Limited to a Charging Order

A creditor of a member must obtain a charging order from a court. However, a charge is not an attachment; the creditor cannot take the partner's place or participate in the LLC business. A charging order is a document signed by a judge that gives a creditor the right to "charge" a membership interest. A charge is simply the right to receive whatever distributions of profits the member is receiving. In addition, the creditor has no right to use LLC property or vote in LLC matters. The only way the creditor becomes a full member is if the remaining members agree to allow the creditor in as a member. Unless your partners are complete fools, they will not let this happen.

A handful of states have adopted the Uniform Limited Liability Company Act, (ULLCA) which permits a creditor with an unsatisfied charging order to foreclose a membership interest. However, the ULLCA specifically states that the purchaser of the interest does not become a substitute member. Thus, the purchaser of the LLC interest has to wait until the expiration of the small company to receive his share. This is why it may be advisable for the company to have a definite term. If it does not have a definite ending date, the creditor may force a premature dissolution of the company.

WHAT ABOUT SINGLE-MEMBER LLCs?

If a creditor of a single member LLC charges the member's interest, can the member stop distributions to himself to frustrate the creditor? A federal bankruptcy court addressed this in the case of *In Re Ashley Allbright*. The court ruled that a creditor of a single member LLC could force liquidation of LLC assets. Since the *Allbright* decision, two state courts have ruled similarly. While these decisions are only binding on the jurisdictions in which they were decided, the smart attorney will advise you that it is a trend that is likely to continue. Thus, single member LLCs, where a single natural person is the member, probably will not offer any asset protection.

Technically speaking, a creditor of a member cannot become a substitute member unless the remaining members agree to admit him as a member. However, a one-member LLC has no other members. If the member whose interest is charged decides to stop distributing income to himself to avoid the creditor, a court might consider this act to be a fraudulent transfer. A possible solution would be for the member to sell a small interest to another person who is unrelated to himself. This remaining member could then vote to stop the distributions. If the sale of the interest was for fair value, then it would arguably not be a fraudulent transfer. If the LLC operating agreement required unanimous approval for distributions of profits, then there would technically be a deadlock. The bankruptcy court in the *Ashley* case said if there were other members in the LLC holding even an "infinitesimal" interest, the creditor would be precluded from taking control of the company, so long as the there was no evidence of a fraudulent conveyance. However, given the uncertainty of the law, it may be advisable to use the single member LLC as a layer of protection, having the LLC owned by another LLC with multi-members or a limited partnership.

Keep in mind that the above discussion refers to creditors unrelated to the partnership or company business. If you pledge your partnership or membership interest for a loan, the lender can always foreclose your interest for nonpayment. In addition, your partnership or LLC interest is not always protected in federal bankruptcy court; partnership and LLC law are state creations whereas bankruptcy law is a federal law. The United States Constitution's Supremacy clause permits federal law to supersede state law in certain areas. Thus, a bankruptcy judge may order your partnership or LLC interest sold to pay for your debts.

Chapter Summary

- LLCs offer lawsuit and asset protection.
- Limited partnerships offer lawsuit and asset protection for limited partners.

Chapter Five

Tax Issues

This chapter will outline briefly the tax issues involved with LLCs. For federal income tax purposes, both will generally be treated as partnerships, thus we will review partnership tax law. Any references to *partners* and *partnerships* in this chapter will be used synonymously with *members* and *company*.

Partnership tax law is the most complex area of the Internal Revenue Code, so I will try to keep it simple. Don't let it bother you if you have to read this chapter three times. It's not you; you are a completely normal, intelligent person. This is complex stuff.

Whether you make it through this chapter feeling totally confused or like you completely understand it or somewhere in between, it's highly recommended that you review any tax issues with a competent tax advisor, CPA or tax attorney before engaging in any transaction of which you are uncertain of the tax consequences.

History of the IRS Tax Classification Scheme

Until recently, the IRS had a complex set of rules regarding how an entity would be classified for tax purposes. Even though LLCs are usually considered partnerships under state law, the IRS is a federal agency. The supremacy clause of the United States Constitution gives the IRS the right to call a duck a duck, so to speak. In other words, if the IRS thinks your LLC looks more like a corporation than a partnership it will reclassify it as such. A reclassification as a corporation can have a devastating income tax impact on the owners.

> *Example:* *Lauren and Gregg form an LLC. They file a partnership tax return, which shows a net profit of $100,000 per year. Lauren and Gregg pay personal income tax of approximately $25,000 on their share of profit.*

After three years, the IRS decides to audit their LLC return and reclassify the LLC as a corporation. Since a corporation is a C corporation by default, Lauren and Gregg's profits are now subject to double taxation. All of the income claimed for the past three years is subject to corporate income tax (approximately 22%) and personal income tax ($25,000). The additional tax is due immediately, together with penalties and interest.

The New Classification Rules

Under the new rules, an entity will be classified as follows, by default:

- If it is a corporation under state law, then it will be classified as a corporation for federal income tax purposes.
- If it is not a corporation and has two or more members, it will be classified as a partnership.
- If it is not a corporation and has only one member, it will be disregarded as an entity separate from its owner (this is for tax purposes only; the entity will still be valid under state law).

An LLC will be treated as a partnership if it has at least two members. If it has one member, an LLC will be treated as disregarded [Treas. Reg. § 301.7701-3(b)(1)].

Alternative Classification

An LLC or partnership can elect to be treated as an "S" corporation rather than a partnership. If you want your LLC or partnership to be treated as such, you can file IRS form 2553. In theory, this could be a lazy man's corporation; it will be treated as an "S" corporation for federal income tax purposes, without the paperwork formalities of a corporation as required by state law.

Making Contributions to the Partnership

When partners make contributions to the partnership, there are generally no income tax consequences. This applies to contributions made when forming the partnership and contributions at a later time. There are, however, some circumstances where a partner can be taxed when contributing property to the partnership. These include:

- A partner contributes property that is subject to debt that is greater than his tax basis in the property (see discussion of tax basis below).
- The partnership is considered an investment company (a partnership is an investment company if over 80% of the value of its assets, excluding cash, is held for

investments and consists of marketable stocks, securities or interests in a regulated investment company or R.E.I.T.).

- When a partner contributes services in exchange for a partnership interest.
- When a partner contributes property against which he has recently borrowed a large sum that might be re-characterized as a taxable sale.

These issues are too complex to discuss here. They are listed here only for you to keep them in mind. If one of these situations applies to you, make certain you discuss the matter with your tax advisor before proceeding.

WATCH OUT FOR STATE SALES OR TRANSFER TAX

A transfer of property into the partnership may be considered a taxable event. Check with your state department of revenue. In addition, real estate transferred to a partnership may trigger property tax reassessment or documentary transfer tax.

Partner's Tax Basis in the Partnership

In order to understand the tax implications of partners' contributions, you need to have a basic understanding of a partner's tax basis in the partnership. This, of course, requires a basic understanding of tax basis.

Tax Basis in General

A person's tax basis in an asset is basically what he paid for it. Moreover, a person's tax basis in an asset is reduced by depreciation and increased by the costs of improvements. The tax basis after depreciation and improvements is called an adjusted basis. Tax basis is important when determining the amount of taxable gain upon the sale or transfer of the asset and has nothing to do with the actual value of the property.

> *<u>Example:</u> Colleen buys a rental property worth $110,000 for $100,000. She rents it for many years, taking $50,000 worth of depreciation. The market has gone up substantially, making the house worth $150,000. Colleen adds an extra bathroom and a garage at a cost of $20,000. The improvements on the property make it worth $200,000. Colleen needs some quick cash, so she sells the property for $170,000. What is her taxable gain?*

To someone untrained in taxes, the response is $70,000 (the price she sold it less the price she paid for it). As stated above, tax basis has nothing to do with market value. Colleen's tax basis is $70,000, which was calculated as follows:

Original basis:	$100,000
minus	
Depreciation:	$ 50,000
plus	
Improvements:	$ 20,000
Adjusted basis:	$ 70,000

Colleen's taxable gain is the sales price ($170,000), less her adjusted basis ($70,000), which equals $100,000.

WATCH FOR THE DUE-ON-SALE CLAUSE WHEN TRANSFERRING REAL ESTATE

Most conventional mortgages contain a due-on-sale clause that gives the lender permission to call your loan due if you transfer title to the property. You may want to contact your lender first and get their permission, or purchase my Land Trust manual, which shows you a neat way around it.

Original Tax Basis in a Partnership

A partner's tax basis in his partnership interest starts with his initial contributions to the partnership. When a partner contributes property to a partnership, the partnership itself inherits the partner's basis in the property. If the partner's basis in the asset equals its market value, the math is quite simple. The partner's tax basis in the partnership from this contribution equals the market value of the asset.

Example: *Lonnie and Burt are partners in the Deevorse Partnership. Lonnie has a piece of real estate she bought for $150,000, which has a market value of $100,000. Lonnie has taken depreciation, so that her adjusted basis in the property is $100,000.*

Lonnie contributes the $100,000 property to the partnership. The Deevorse Partnership now has a basis in the property equal to Lonnie's basis, which is $100,000. Burt contributes $100,000 in cash. Years later, the property has appreciated, and the partnership sells the property for $200,000. The partnership's taxable gain is $200,000, which is the sale price less the partnership's basis. Lonnie and Burt will each have to pay a gain on $50,000.

Things get a bit more complex if the market value of the asset is different from the partner's tax basis.

Example: *Dick and Jane are partners in the D&J Partnership. Dick has a piece of real estate he bought for $100,000, which has been completely depreciated to zero. It now has a market value of $100,000. Dick's adjusted basis is in the property is zero.*

Dick contributes the $100,000 property to the partnership. The D&J Partnership has a basis in the property equal to zero. Jane contributes $100,000 in cash. Years later, the property has appreciated, and the D&J Partnership sells the property for $200,000. The partnership's taxable gain is $200,000, which is the sale price less the partnership's basis. However, Jane did not benefit from the depreciation that Dick took before he contributed the property to the partnership. Thus, Dick will have to pay a gain on $100,000 (the difference between his basis in the asset and the price at which it was contributed to the partnership) plus one-half of the gain the partnership realized when it sold the property ($50,000).

Things can get even more complex if the property has a loan. This is because a contribution of property subject to a loan is deemed a contribution to that partner to the extent his partners agree to take responsibility for the loan. Things get really ugly if you want to contribute property that is subject to a loan that is greater than the partner's tax basis. If you're in that situation, you should seek advice from a competent tax professional.

Adjustments to a Partner's Tax Basis

The following events *increase* a partner's basis in his partnership interest:

- Additional contributions of money or property by the partner.
- An increase in the partner's share of partnership profit.
- An increase in the partner's share of partnership debt.

The following events *decrease* a partner's basis in his partnership interest:

- Distributions of money or property from the partnership to the partner.
- A decrease in the partner's share of partnership debt.
- The partner's liabilities that are assumed by the partnership.
- The partner's share of any section 179 expenses, even if the partner cannot deduct the entire amount on his individual income tax return (section 179 of the Internal Revenue Code permits you to expense completely, rather than depreciate, certain types of equipment used in your business).

A partner's basis can never be less than zero. As we will discover later in this chapter, a partner's tax basis in his partnership interest is important for determining whether a distribution to the partner is deductible and whether he can deduct partnership losses.

Partners' Capital Accounts

A partner's capital account is basically what a partner would receive if the partnership were liquidated. It's essentially the partner's equity in the partnership.

A capital account is not an actual bank account but a bookkeeping term. A partner's capital account is increased by contributions to the partnership and his share or partnership income. It is decreased by distributions to him and his share of partnership losses. Adjustments are a little trickier when:

- A partner contributes property which has a tax basis different from its market value (see example above); or
- The partnership makes a distribution of property other than cash; or
- A new partner is admitted to the partnership.

These issues are too complex to discuss here. They are listed here only for you to keep them in mind. If one of these situations applies to you, make certain you discuss the matter with your tax advisor before proceeding.

A Partner's Capital Account and His Basis

A partner's basis and his capital account are similar. If partners only contribute cash to the partnership, the partner's capital account and basis will usually be the same. However, as discussed above, a partner receives a credit in the basis of his partnership interest only to the extent of the basis of the asset he contributes. However, a partner's capital account is credited with the net value of the property contributed (only the net value of the property is considered; if the property contributed has a loan with it, then the amount credited is the difference between the value of the property and the amount of the loan). In addition, each partner includes his share of partnership debt in determining basis. Partnership debt does not affect a partner's capital account.

Finally, while a partner's basis can never fall below zero, a partner's capital account can. When the partnership dissolves, the partners with negative capital account will usually have to make up this deficit.

Distributions are Generally Not Taxable Events

A distribution made from the partnership to a partner is generally not recognized as a taxable event unless the distribution exceeds the partner's adjusted basis. Distributions of money that exceed a partner's adjusted basis in the partnership are treated as a capital gain. If property is distributed to a partner, he generally does not recognize a gain until he sells the property.

> <u>*Example:*</u> *The adjusted basis of Larry's interest in his partnership is $140,000. He receives a cash distribution of $80,000 and property with an adjusted basis of $20,000. The property has a market value of $30,000. Larry does not recognize a gain because the cash received does not exceed his basis in the partnership. Larry's basis in the partnership is now $40,000. Larry will not recognize a gain on the land until he sells it.*

A Partner is Taxed on His Income Whether or Not He Receives It

A partner's share of profit is taxable to him whether or not he actually receives it. If the partners decide to leave the cash in the business for operating capital, each partner's capital account (and his basis) are increased by that amount. This is why a withdrawal of money by a partner is not by itself a taxable event. This withdrawal could be in anticipation of future profits or for payment for his share of past profits. Since we do not know whether there will actually be a profit until the end of the year, a distribution in anticipation of future profits (also called a draw) is treated as a distribution made on the last day of the partnership's tax year.

A Partnership May Reimburse Partners for Partnership Expenses

Partners only pay tax on profits if there is a profit. The goal obviously is to reduce your net taxable income by creating as many expenses as possible. Believe it or not, many people pay for business expenses out of their personal funds and never bother to get reimbursed by the business or take a deduction for the expense.

If you incur legitimate expenses on behalf of the partnership, you should have the partnership reimburse you for the expense. The reimbursement from the partnership is not taxable income to you. The partnership deducts the expense against its income, resulting in less taxable income to you.

Generally, most expenses that are business-related and substantiated are properly reimbursable by and deductible to the partnership. The IRS buzzwords are “ordinary and necessary.” Some examples are:

- Telephone calls made for business purposes
- Automobile
- Travel
- Office supplies and equipment
- Entertaining clients (only 50% deductible)
- Postage
- Parking and meters
- Interest on credit cards used for business purposes
- Expenses related to promotion or publicity of the corporation’s business
- Books, seminars, audiotapes, videotapes and other educational products that are a legal requirement for the partners (e.g., continuing education credits for CPA, attorney or Realtor) or are necessary to maintain or improve skills in the partner’s present employment)
- Laptop computers, fax machines and cellular phones (because you have to do company work while you are out of the office)

These are just some examples. The more creative you get, the less income you will have to show, and the less taxes you will have to pay. Keep good records, including receipts, to satisfy the IRS. You can find an employee expense log book at any office supply store. Use an expense reimbursement form that you submit to the partnership for approval. After all, this is what any company you worked for would expect, right?

Special Allocations

Generally, partners will share profits and losses in direct proportion to their share of ownership in the partnership. However, partners may wish to allocate items of income, deductions and losses in a manner that is inconsistent with their percentage of ownership.

> *Example:* *Bill and Casey form a partnership. Bill puts up $75,000 and Casey puts up $25,000. Bill and Casey agree that since Casey is better known around the business community and will thus generate more revenue for the partnership, Bill and Casey will split profits on a 50/50 basis.*

The Internal Revenue Code (IRC) has a complex set of rules that must be followed when partners want to allocate income in a percentage that is different from their ownership interests.. Generally, the allocation must have a “substantial economic effect” to be valid. If you intend to allocate items of income, loss or deductions in a manner that does not reflect the ownership interests of the partners, contact your tax advisor.

Partnership Losses

Losses from the partnership business generally flow through to the partners. A partner's ability to deduct losses is limited to the extent of his basis in the partnership. You will remember that losses reduce a partner's basis in the partnership. If a partner's share of loss is greater than his basis, his basis will be reduced to zero. He can deduct the remaining losses in future years, when his basis is greater than zero.

At-Risk Limits

A partner's ability to deduct losses is also limited by the amount for which the partner is considered at risk. A partner is generally considered at risk for:

- Money and property he contributed to the partnership.
- His share of income that the partnership has not yet distributed to him.
- Certain amounts borrowed by the partnership for which the partner is personally liable.

Limited partners and LLC members usually do not have personal liability, but general partners always have personally liability. Thus, limited partners and LLC members generally cannot include company debt in their basis. One exception to this rule is what is known as qualified non-recourse debt. This exception allows members of an LLC to include company debt for certain types of real estate loans as part of their basis. If you think you may qualify for this exception, speak with your CPA or tax advisor.

Passive Loss Limitations

Passive losses are losses that result from activity that you did not materially participate in. Passive loss limitations do not apply to the partnership, they apply to the partners themselves. Passive loss limitations apply only if a partner is not actively involved in the partnership business. So long as the partner materially participates in the partnership business, his losses are generally not considered passive.

A partner who is considered a passive investor cannot deduct passive losses against other active income. For example, rental real estate losses (which are generally considered passive income) cannot be used by a partner to offset his income from a regular salaried job. However, passive losses can be used to offset other passive income. If there is no passive income which can be offset, the partner can carry the loss forward to future years in which he has passive income. In most cases:

- Limited partners will always be considered passive investors.
- General partners will almost always be considered active partners.
- Members of limited liability companies can be either active or passive, depending on how much they are involved in the business.

SPECIAL NOTE FOR REAL ESTATE INVESTORS

If you buy and flip real estate on a continuous basis, the IRS considers you a dealer in real estate, not an investor. In that case, your profits are subject to self-employment tax. The result will likely be the same if you do the same activity through an LLC. The only way to avoid the self-employment tax in this case is to do an S corporation election for your LLC. In that case, you can take a small salary (on which you pay FICA tax) and the rest of the profit will be a dividend (not subject to FICA tax).

Self-Employment Tax

Partners are not employees, but a partner who is active in the partnership business usually must pay self-employment tax on all of his income (IRS form 1040SE). General partners are virtually always active in the partnership business. On the other hand limited partners are virtually never active.

It's not entirely clear whether members of LLCs are subject to self-employment tax on earnings. Generally speaking, passive income earned through an LLC, such as rental income, interest income and dividends, is not subject to self-employment tax. Income actively earned through an LLC, such as a trade or profession, clearly *is* subject to self-employment tax. Everything in between these two extremes will depend on the nature of the work and how many hours the members worked towards earning this income. Under proposed IRS regulations [*Treas. Reg. Sec. 1.402(a)-2(h)(2)]*, you are safe from self-employment tax as long as:

- You participate no more than 500 hours per year.
- You don't have personal liability for the LLC's debts (usually the case).
- You are not a manager of the LLC.

This area of law is new and evolving, so you should contact your tax advisor before proceeding.

For income tax purposes, you may want to elect to be treated under subchapter S of the Internal Revenue Code. Whether to file the subchapter S election is strictly a tax decision, and does not affect the liability of the Members, or how the company runs under state law as an LLC.

Benefits of the S Election

The S election is a choice to be treated similar to a partnership for tax purposes, that is, all profits and losses flow through to the shareholders. The corporation files an informational tax return (IRS form1120-S) and the shareholders receive an IRS form K-1, which summarizes each shareholder's share of profit or loss. A copy of the form K-1 is also sent to the IRS.

Lack of double taxation is the major benefit of the subchapter S election. Regular or "C" corporations are taxed at the corporate level, then again at the personal level when dividends (profits) are distributed to the shareholders. The S corporation's profits are only taxed once, at the shareholder level. The S corporation files an informational tax return, then the shareholder reports his share of income on schedule E of his federal income tax return. Furthermore, shareholders who are active in the business can take business losses on their individual returns, because losses flow through. These losses, of course, can be used to offset other income of the shareholders, or even carried forward to offset future income. Note that deductibility of losses from S corporations depends on many factors, including whether the shareholder is active in the business, how much he has invested in the business and whether he is at risk for corporate debts. If you anticipate having corporate losses from an S corporation, review these rules with your CPA or tax advisor. It may be beneficial to start as an S corporation to take losses in the early years of the corporation.

Further, K-1 income from an S corporation is not subject to payroll or self-employment tax, which is an issue with Schedule C income as a sole proprietor. You can save a lot of money by passing income through the K-1 in as S corporation. However, you won't get a free ride forever; eventually you risk an audit that results in some of the income being re-characterized as salary, which is subject to payroll tax. In short, don't be greedy – take a small salary to keep the tax collectors happy. Some CPAs will say one dollar in salary to three dollars in K-1, but there's really no hard and fast rule. It's about the job you perform as an officer and what's a reasonable and typical salary for such a position.

Check www.salary.com for guidance on what is a reasonable salary.

BUSINESS LOSSES

Losses in your business are generally allowed to offset your gain from other income. If you have no other income, you can carry these losses into future years to offset income. S corporation losses flow through to your personal income tax return; C corporation losses do not. However, the losses from a C corporation can be used to amend a prior year's return to offset previous corporate income or carried into future tax years to offset corporate income.

The Downside of the S Election

All profits earned though an S corporation are taxed, regardless of whether these profits are distributed to the shareholders or retained for use in the business. For example, if the company has a net profit of $50,000 after paying salaries and expenses, the shareholders are taxed on their proportionate share of this profit, even if this profit is reinvested in the business.

Another disadvantage of the S corporation is that shareholder/employees who own more than 2% of the stock cannot take advantage of certain fringe benefits, such as 100% reimbursement under a medical reimbursement plan (although health insurance premiums can be a deduction to S corporation owners as well).

Please note that the S election is not available to all LLC. There are some technical rules, but the S election is generally not available where:

- The LLC has more than 100 members.
- Any members are nonresident aliens.
- Any members are another corporation or other entities (although your living trust may be a shareholder; see your attorney if this is the case).
- The LLC's business is banking or insurance.

Even if the S election is granted by the IRS, a change in circumstances may result in a revocation of S status. For example, if a member transfers his interest to a corporation, the IRS will revoke the S status. Thus, while LLC shares are usually freely transferable, it might be a good idea for the members to sign an agreement that no member will commit any act that jeopardizes the S status of the LLC. This is especially important if your LLC has several unrelated members.

If you choose the subchapter S election, you must have the unanimous approval of all members of the LLC. After you adopt a formal resolution, fill out IRS form 2553 and mail it promptly to the IRS. In most states, a federal S election automatically makes the LLC an S corporation for state income tax purposes. Some states (e.g., New York, New Jersey, Arkansas) have their own S election that must be made in writing. A few states do not recognize the S election at all, imposing state-level income tax.

Tax Returns

LLCs must file a tax return by 15th day of the fourth month following the close of its fiscal year. For most partnerships, this will be the 15th of April. Both partnerships and LLC partnerships use IRS form 1065, U.S. Partnership Return of Income. An LLC taxed as an S corp files IRS form 1120s, which is due March 15th.

The partnership or S corporation are not a tax-paying entities; they are pass through entities. The members report their share of income, losses and deductions on their personal income tax returns. The LLC sends each member (and the IRS) an IRS form K-1 which lists each partner's share of income, losses and deductions.

State Income Tax

For income tax purposes, most states follow the federal classification protocol for both LLCs and partnerships. However, some states, such as California, Delaware, and Texas, impose additional state franchise taxes on LLCs. Furthermore, some states require you to make an election as to how the LLC will be treated for state income tax purposes. This may lead to some confusion for single-member LLCs that are treated at the federal level as a nonexistent entity. LLC laws are changing rapidly, so check with your state for the most current regulations.

Chapter Summary

- Most LLCs will be treated as partnerships for tax purposes.
- Partnerships are pass through entities for tax purposes.
- Most contributions to the partnership or LLC are not taxable.
- Partners pay tax on income, whether or not it is distributed.
- Partners' losses are limited by their adjusted basis in the partnership.
- Some states assess additional tax on LLCs.

Chapter Six

How to Setup & Run an LLC

This chapter will walk you through the logistics of setting up and operating a limited liability company.

Step One: Find a Partner (if necessary)

If you are a one-man show and you want to have a partnership LLC, you have two choices:

1. Have a Corporation be the Second Member

You can be the sole shareholder, director and officer of that corporation, so long as you maintain the formalities of that corporation. It is important that you make it clear at all times which capacity you are acting. If you are acting on behalf of the corporate member, sign all of your documents, checks, contracts and correspondence as follows:

John Doe, President of ABC, Inc., Member of the DEF Limited Liability Company

2. Use a Friend or Relative

Have an old friend or cousin own a one-half percent interest in the LLC. Sure, you'll have to share profits, but it's only one-half of one percent. You could theoretically have different classes of membership, such as Class A with voting rights and preferred distributions, and Class B with no voting rights and secondary rights to distributions.

Step Two: Choose a Company Name

The Name Must Indicate Limited Liability

Your name must contain some designation that lets the public know it is a limited liability company. The most common designations are “LC” and “LLC”. Some states allow “LTD”.

The Name Must Be Different then Others

An LLC name cannot be used if already being used as a corporation or other entity. And, if your name chosen is substantially similar to another company name, it may be rejected. Finally, you should Google your proposed name to see if someone has a trademark registration on the name in question. You might also want to check potential domain names and match them up to your company name.

Step Three: File the Articles of Organization

A valid limited liability company requires the filing of articles of organization (called a certificate of formation in some states) with the state department of corporations or secretary of state. The articles usually contain:

Name of the Company

See the discussion above regarding choosing a name.

Mailing Address of the Company

This can usually be a post office box. Some states require a physical address.

Name and Address of Registered Agent

This is a person or entity designated by the company to receive legal notices, and must be PHYSICAL address within the state of formation. A UPS store will usually NOT suffice.

Management of the Company

As we discussed in chapter 2, an LLC can be either member-managed or manager-managed (Minnesota requires the appointment of a manager). In a small family business, member-managed will be fine. However, if you have children or investors who you do not want to be involved in the management, you may choose to be manager-managed. You can always change your LLC from member-managed to manager-managed by filing an amendment to your articles of organization.

Manager-Managed May Give You More Privacy. A manager-managed LLC gives you more privacy because most states do not require the disclosure of the members if the LLC is manager-managed. In that case, only the names of the managers are public record. In most states, this manager can be a corporation, and such corporation (or person) does not necessarily have to be a member. However, a member-managed LLC may be formed in privacy using a trust as the members (see discussion below).

Manager-Managed May Help Avoid Self-Employment Tax. Under new IRS proposed regulations, a non-managing member may not be liable for self-employment tax so long as he does not work more than 500 hours per year (see chapter 5 for a complete discussion).

Names and Addresses of Managers

If your company is to be manager-managed, most states require the names and addresses of the manager. If you want to keep your privacy, use a post office box or private mailbox address.

Duration of the Company

Some states require that an LLC have a term not to exceed 30 years. This rule was strategically designed to prevent the IRS from saying that an LLC has perpetual life, a characteristic known only to corporations. In light of new regulations, this may or may not be relevant.

However, in the context of asset protection, a limited term is very relevant. The Uniform Limited Liability Company Act of 1995 (ULLCA) specifically states that a creditor who forecloses a membership interest may force dissolution of the company if the company is at will. A company that has no ending date may be considered “at will.” However, if the company has a 30-year term, a creditor would have to wait until the end of the term to receive his money.

The ULLCA has only been adopted in a few states. It is not clear whether any other states will adopt the Act. However, even in those states that have not adopted the Act, the 30-year term will demonstrate to a judge that the company has a definite ending date. Thus, the creditor has a real remedy, and a judge is less likely to force an early dissolution of the company.

Company Purpose

Some states permit a general purpose clause (“any business that is lawful under the

New York Limited Liability Company Act"), while others require a specific purpose ("to buy, sell, lease and rehabilitate real estate").

Names and Addresses of Members

If your LLC is member-managed, most states require the disclosure of the names and addresses of the members. If you live in a state that requires this disclosure, create a revocable, living trust for each member so the names of the trusts, not the members, will be on record. As beneficiary and trustee of the trust, you are still the owner of the membership interest for income tax purposes (*See* IRC Secs. 671-678).

Contributions of Members and Sharing Ratios

A few states require that the initial capital contributions and profit-sharing ratios of members be listed in the articles. In addition, some states require that a statement be made as to when a member will receive his contribution back and whether he has a right to demand other than cash in return for his contribution. If you don't want this information to be public, then I suggest you form the LLC in a state that does not require this disclosure. Then register the LLC in your home state (note: if any member is a corporation, it may have to register in the state in which you form the LLC).

Signature

Most states permit a third party to be an organizer; t hat is, someone other than a member or manager can file and sign the articles of organization. Some states require that the certificate be signed by the members.

Filing Fee

Filing fees for LLCs range from $50 to $500, depending on the state. California charges a minimum annual franchise fee of $800, which is due when the company is filed. Some states (e.g., New York) require that you publish a copy of the certificate in a legal newspaper, which can significantly add to your cost.

Where to File?

The filing for an LLC is usually done at the state capital at the department of corporations or secretary of state. The address and telephone of your state's filing office can be found here: http://smallbusiness.findlaw.com/incorporation-and-legal-structures/state-guide-corporations-offices.html.

Call the secretary of state ahead of time and ask how many copies they require, the filing fee, whether they require a self-addressed, stamped envelope, etc. Many states have online filing and/or provide a sample form for articles of organization.

Step Four: Draft & Sign an Operating Agreement

Recap of LLC Management

In chapter 2, we learned that when the LLC is member-managed, it is just like a general partnership, with one notable exception - the members are not exposed to liability. All members of a member-managed LLC can participate in the management of the company, as well as sign obligations and contracts for the company.

If an LLC is manager-managed, it is similar in operation to a limited partnership. However, if the LLC is manager-managed, the members who are not also managers cannot execute legally binding contracts for the company.

Obtain a Tax Identification Number

Go to IRS.gov and apply for an EIN number. The questionnaire walks you through the process and provides you with an EIN letter right away. Even if you intend to do an S corporation election, it will force you into the default "disregarded" (1 person) or partnership (2 or more people) mode. Don't sweat it, the 2553 form overrides that default. Also, the EIN letter automatically will spit out your name as "sole member", even if you are applying as manager of the company and someone else is the member. Ignore that.

Open a Bank Account

Once you obtain your federal tax ID number, open a bank account. For a single member LLC, you can give your own Social Security number, unless you choose to file IRS form SS4 to obtain a federal ID # (make sure you state on the form that you are obtaining the EIN for *banking purposes only*). Make certain that your checks bear the "LC" or "LLC" designation that appears on your articles of organization.

Obtain a State Sales Tax Identification Number

Some states require an immediate business ID number, while most only require it for employee withholding or sales tax collection.

Annual Paperwork

In most states, an LLC does not require annual meetings like a corporation. Some states require at least one annual meeting, but the restrictions and formalities are less stringent for LLCs than for corporations.

Company Meetings

It is recommended that you have at least one annual meeting and keep minutes of the meeting. Let's dispel any previous notions you may have about company meetings. If you think the meeting must happen in a room with a long, mahogany table, you've been watching way too many movies. In fact, the meeting can simply be dispensed with so long as the minutes are in writing and reflect what all parties to the meeting have agreed to ahead of time.

WHAT ARE MINUTES?

Minutes are a log of events that happen at a meeting. Formally, the secretary of the meeting will write down every thing that was said, voted and discussed, then enter the written summary in the company's minute book. Most people fake meetings by writing down what *should* be discussed, then signing the summary of minutes as though it really happened that way.

Notice of Meeting

Technically, all company meetings are done on notice, that is, a notice of meeting is sent to all parties. State laws vary about how many days ahead of time a person must get a notice. In fact, the type of notice required changes depending upon the type of meeting and what will be discussed.

Worried? Don't be. There's an easy way to deal with this requirement. Although you technically should mail a notice to all persons required at any meeting, you can have each person attending the meeting sign a waiver of notice. I've made it very easy for you by simply adding a waiver of notice provision at the end of the sample minutes of meeting sample forms. If you have to create your own minutes of any meeting, make certain you include that waiver.

Business to be Discussed at the Annual Meeting

I have included a form entitled *Minutes of the Annual Meeting of* _______ (the blank being the name of your company). If you actually want to hold the meeting, you can stand up and say, "Hear ye! Hear ye! This annual meeting of ABC Limited Liability Company shall come to order.""

Wasn't that fun? Now sit down and get real. The first item of business is to appoint a chairman and secretary of the meeting. Every meeting has a chairman (or woman) who runs the meeting as well as a secretary who takes minutes of the meeting. If you intend to be the only member, you will be having a meeting with yourself. Appoint yourself chairman and secretary and write those in the blanks marked accordingly.

The first item of business will be the waiver of notice. You should see the waiver language toward the bottom of the page, just above the place for your signature. An oral waiver will be taken and you will sign the waiver at the end of the meeting.

The second item of business will be the election of a manager. If you are member-managed, this won't be necessary (note: the state of Minnesota requires a board of governors to be elected each year).

The third item of business is the election of officers. Officers are not required in most states, but it is not a bad idea to have officers if you don't have a manager. If you do have a manager, he will likely appoint officers. Having officers makes it easy when dealing with people who are unfamiliar with the LLC. A bank or merchant may frown upon the signature of a member rather than an officer.

Officers come in the following varieties and flavors:

- President: The boss
- Vice president: The assistant boss, when the other boss isn't around
- Secretary: takes corporate minutes, executes and certifies resolutions
- Treasurer: handles money issues, such as checks, payroll and bank accounts

If you are a one- or two-person LLC, a president and secretary will suffice. If you do appoint officers, you should have something in writing, signed by the members, which outlines the duties and authority of the officers. This is particularly important if you have someone other than yourself or your spouse as an officer of the company.

Resolutions

A decision made by the company is called a resolution. Corporations usually document all resolutions in writing and keep a copy in the minute book. LLCs don't usually need to make formal resolutions, other than the election of managers and officers. However, a bank or credit company may require proof that the company authorized a particular decision. In this case, they will ask for a certified copy of a resolution.

Rather than hold a formal meeting, you can have the managers and/or members sign a document known as *Unanimous Consent in Lieu of a Meeting.* This is a resolution, in writing, which is signed by all of the managers and/or members who otherwise would have agreed to the same thing had they been at a meeting. In most cases, the bank or company that you are dealing with will draft this form.

THE MINUTE BOOK

When you incorporate with a lawyer, you get a fancy, black minute book, which is fancy loose-leaf binder containing your articles, operating agreement, tax forms, minutes and other important documents.

The Organizational Meeting

Let's back up a bit to the organizational meeting. Corporations usually have formal organizational meetings immediately after the articles are filed with the state. The purpose of this meeting is to accomplish basic housekeeping items, such as the appointment of initial officers, adoption of a corporate bylaws, selection of accounting methods, etc. Most state LLC laws are silent on the issue of organizational meetings. Furthermore, most of these items are already covered in the operating agreement.

However, just to start off on the right foot with keeping formalities straight, it's a good idea to start your company with an organizational meeting. The format for the meeting is the same as described above.

Present at the meeting will be the members, the managers (if your LLC is manager-managed) and the organizers. The organizers are those individuals who actually file the articles of organization or certificate of formation with the state. Their job is done after the first meeting. If someone other than a member (e.g., an attorney) filed the articles, it may be appropriate for the attorney to attend the meeting (or at least pretend by his signature).

Annual Reporting

Most states require the filing of an annual report which states the name and address of current managers and registered agent (visit your secretary of state's Internet web site for fees and forms). It's important that you file this annual report and pay the required fee. Your failure to do so may result in an automatic dissolution of the company. The state will usually send the annual report form to the registered agent on file with the state. This is why it is sometimes worth paying a reliable company (rather than your brother-in-law) to act as a registered agent.

Other than filing the appropriate city, state and federal tax returns, the only paperwork that is usually required by state law is the maintenance of records for inspection, such as:

- A current list of the names and addresses of members and managers
- Copies of the articles of organization and amendments thereto
- Copies of minutes of meetings and resolutions
- Copies of federal and state income tax returns for the company
- Copies of operating agreements
- Copies of financial statements of the company
- Amounts of cash and description of property and services contributed to the company

Of course, this record-keeping requirement is for the benefit of non-manager members who may want to see these records. If you are a small family business, this won't be a big issue. In any event, it is good practice to maintain these records in case of a lawsuit, IRS audit or sudden death of a family member.

Amendments to the Articles of Organization

Most states only require that an amendment to the articles be filed to reflect new managers or to continue the company after an event that dissolves the company (e.g., expiration of the partnership's term or the death of a member). In addition, you must file an amendment if you change your management structure from manager-managed to member-managed, or vice-versa. Essentially, any change in the infrastructure of the company requires an amendment to the articles of organization. Check with your state's office of the secretary of state or department of corporations for the appropriate form.

Converting an Existing Business to an LLC

The LLC is a separate and distinct entity and cannot simply stand in your shoes. You must somehow transfer title or control of the assets to the company. In addition, the company should assume your business' obligations. There can be some significant tax implications with changing the structure of your business from a proprietorship or corporation to an LLC. It is therefore recommended that you discuss these issues with a CPA or other experienced tax advisor. Generally, converting a limited partnership or general partnership to an LLC will have no consequences, so long as the members will have the same percentages of ownership.

The Business Assets

You will need to transfer some or all of the assets to the company.

Should All Assets Be Transferred?

From a lawsuit protection standpoint, it may be better to keep some or all of the business assets in your own name and lease, rent or license them to the company. The fewer assets you have in one basket, the less you have to lose if the business is sued.

- Accounts receivable
- Bank accounts
- Inventory
- Business name and goodwill
- Automobiles
- Copyrights, trademarks and patents
- Building and land
- Leases
- Equipment, office furniture and fixtures
- Contracts

Transferring Physical Assets. Physical assets are easy to transfer and can be done by a bill of sale. Automobiles usually require a transfer of title and registration with the state department of motor vehicles.

Real Estate. Real estate must be transferred by deed. If the property has a loan secured by a mortgage on the property, check to make sure it does not contain a due-on- sale clause. (If it does, get my course on land trusts. It will show you how to get around the due-on-sale clause. Visit my website at www.legalwiz.com/store).

If you have a commercial lease, it will probably contain an anti-assignment clause. You should call the landlord and get permission to sublet or assign the lease to your LLC.

Bank Accounts. Cash in bank accounts should be transferred by a check and not by a simple name change on the account.

Negotiable Instruments. Negotiable instruments include promissory notes, contracts and receivables. These can be transferred by assignment that is simply a statement that says something like:

"I hereby assign all right, title and interest in a promissory note dated January 1, 2014 and executed by John Smith, as Payor, to ABC Limited Liability Co."

Intangibles. Intangible assets, such as patent, trademark and copyrights can be done by assignment as well. In addition, the change of ownership should be registered with the U.S. Patent and Trademark Office and the Copyright Office in Washington, D.C. Other intangibles, such as business name and goodwill, can be done by assignment as well.

The Business Obligations

Unfortunately, you cannot just walk away from your business obligations. If you are obligated personally on promissory notes, contracts and leases, you are still liable, even if your company assumes those obligations.

Try to satisfy all business obligations on which you are personally liable as quickly as possible. Make it a point to incur all new obligations in the name of the LLC. Call all of your creditors and suppliers and ask that the billing be changed to the name of the company. Ask that any previous personal guarantees be removed.

Chapter Summary

- An LLC requires the filing of articles of organization.
- An LLC can be manager-managed or member-managed.
- Obtain a tax ID number for the partnership.
- Obtain appropriate licenses for the business.
- Keep good records.

Chapter Seven

Doing Business or Organizing in Another State

If your LLC does business in the state in which it was formed, it is considered a domestic entity. However, if your corporation does business in a state other than its state of formation, it will be called a foreign entity. Similarly, if you organized or filed in another state and did business in your own state, your company will also be a foreign entity.

A foreign entity might have to register in every state in which it does business, depending on the type of activity. Every state has its own definition of what constitutes doing business within its borders, so you should check with each state in which you plan to do business.

States with high income tax (CA, PA, IL, NY, OH) tend to be the strictest about registering out of state companies. Failing to register before doing business could subject the company and its principals to substantial monetary fines.

Filing in Another State

If you plan only to do business in your own state, you should probably form your partnership or LLC in that state.

The Delaware Myth

You may have heard that many corporations file in Delaware. Delaware has been a very popular state in which to incorporate because of its favorable corporation laws. In most cases, these laws will serve no benefit for your small family company, unless you are considering a series LLC (see discussion later in this manual).

Nevada . . . A Tax Haven?

Nevada has no income or franchise tax. If your business has no geographical ties (e.g., mail order), you can greatly benefit from Nevada's lack of state income tax. However, if your company is filed in Nevada and does business in another state that has income tax, it will have to pay income tax on all business done within that state. Furthermore, your cost of starting and running your partnership or LLC will increase, since you must pay filing fees, registered agent fees and annual fees to two states rather than one.

When to File in Another Jurisdiction

Filing an LLC or partnership in another state is about as easy as filing in your own state, because you can use an incorporation service. The only other obstacle to incorporating in another state is having a registered agent. However, just about every state has several companies that will serve as a registered agent for a reasonable fee (contact National Registered Agents online at www.nrai.com). If you need an office in that state, you can always consider an executive suite.

Chapter Summary

- File in your own state for starters.
- Consider another state if you need to be a single-member LLC.
- You must register your company in all foreign jurisdictions.

Chapter Eight

Liability Issues

It almost seems like a contradiction in terms to talk about liability at this point, since LLCs are supposed to protect you from liability. The general rule is that LLC members and LLC managers are not subject to personal liability for lawsuits or company debts. This chapter covers the multitude of exceptions to that rule of which you should be aware.

LLC Member Liability

You may have heard about corporations being set aside by a court, allowing the creditors to go after the shareholders directly. These rules come from a long line of court cases not state statutes. Since LLCs are quite new, most state LLC statutes articulate that the courts should apply the rules from corporation cases to LLCs. The rules of liability have been applied differently from state to state and from case to case, but the court cases have evolved into some distinct theories of liability.

Piercing the Company Veil

The doctrine of piercing the corporate veil is imposed when a court finds that justice requires the corporate protection be removed and the owners be held personally liable (in our case, LLC). Keep in mind that the general rule is that LLC members are immune from personal liability; it is the plaintiff's burden to prove the necessary elements in court. In the context of an LLC, the theory is called piercing the LLC veil.

Alter-Ego Theory

Lawyers may cite the theory of alter-ego trying to get through your company. The alter-ego doctrine says that the member is not separate from the company, but really its alter-ego (like the man behind the curtain in *The Wizard of Oz*). If you are a small company, that's not far from the truth, at least from a practical standpoint. However, from a *legal* standpoint, you must maintain a safe distance from your company so that it can be shown that it is a legitimate entity separate and apart from you.

Instrumentality Theory

Another theory of imposing liability on LLC members is known as the instrumentality theory. In this event, it is alleged that a member exerted so much control of the company that he, not the company, was the real decision-maker. The court must find that the members used the LLC as an instrument for wrongdoing. There is no exact formula here, but you can probably surmise that the more wrongdoing there is on the part of the members, the more closely a court will scrutinize the legitimacy of the company. Generally, courts are more likely to pierce the veil for tort claims where there is a large injury, rather than regular contractual claims for which a court is less sympathetic.

Keeping up With Formalities

When running your limited liability company, you must jump through all the hoops of making transactions appear legitimate.

Company Records

With an LLC, the corporate minute book is the first thing a court will look at in determining whether to set aside the corporate protection. Does your company have annual meetings? Are there written minutes of these meetings? Is your minute book completed?

Take the time, at least once a year, to complete these minutes. *An ounce of prevention is worth a pound of regret*. The minute book should be maintained at the company office and contain the following items:

- Articles of Organization
- Minutes and resolutions
- Copies of federal and state tax returns
- Ledger showing the names, addresses and ownership interests of the members or partners, as well as any transfers of interest
- Copies of any federal, state or city licenses
- Copies of the operating agreement or partnership agreement
- Copy of application for federal EIN
- Copy of state sales tax license
- Copies of financial statements

Commingling of Funds

Does your company have a bank account in its own name? Do you keep company income and expenses separate from personal income and expenses? Does your company pay its own bills?

These are some questions the court will be asking. If you want to be treated like a legitimate company, then act like one. Don't commingle personal funds and/or assets with company assets. If you need some money in your LLC or partnership, create a loan or contribution. If you owned stock in a public corporation and discovered that the senior vice president was using corporate funds to take his family out to dinner, would you be upset? Of course you would, so don't do it with your company money.

Public Perception

Does the world know that you are a company? Does your company have a telephone in its own name? Do all of your checks, advertisements, stationary and business cards show your corporate or partnership status? (i.e., do you remember the "LLC," "LP," or "Ltd." at the end of your company name?). Do you sign all checks, contracts and other obligations in your representative capacity (e.g., as manager, member or general partners) or do you just sign as an individual?

Capitalization, or Lack Thereof

A court can say that you didn't play fair because you kept your company too thin. Although you may not want to keep too many assets in your company, you should keep some cash so that a court can't say that your corporation is just a shell.

IRS Audits

As for IRS audits, the paperwork is the most important factor. The auditor wants to see a legitimate business purpose and a paper trail for all transactions that are questionable. This means that you must have documented minutes that authorize loans, expenses and reimbursements, as well as promissory notes, receipts and expense reports to back it up. Some sample resolutions, promissory notes and expense reports have been provided in this course.

Manager Liability

In some states, the alter-ego doctrine has been applied to hold directors and officers liable for corporate obligations. These rules may also apply to LLC managers, for example:

- Liability to creditors for declaring a distribution to the members before paying money to creditors of the company
- Liability for unpaid withholding taxes
- Tacit approval of any activity of the company or its managers that is illegal (e.g., discrimination or sexual harassment)
- ERISA violations (improper transaction involving employee pension funds)
- Federal environmental liability under Comprehensive Environmental Response, Compensation, and Liability Act *(*CERCLA)

Finally, all company members or managers who fail to sign company liabilities in their representative capacity can be held personally liable. If the party with which you are dealing claims that he did not know you were signing in a company capacity, you can be held personally liable for the obligation. Make certain that you sign as documents as follows:

ABC Limited Liability Company by John Smith, its Manager

This formality is the most overlooked and yet potentially fatal mistake. Just one slip up in signing a document can cause personal liability, even if all other formalities are maintained. If you take the time and expense to form and maintain an LLC, why would you sign personally on any of its obligations?

Personal Guarantees

If you have a new business that is a corporation or LLC, you will often be asked to pledge your personal signature to guarantee the corporation's debts. By doing this, you are risking all of your assets if the business fails, even if the company files for bankruptcy protection.

In some situations, such as a bank loan or line of credit, it is inevitable that you must sign personally. However, it is not necessary to give a personal guarantee in every situation, simply because it's requested. Often, vendors of your business will request that you sign a personal guarantee of a corporate liability. If they are not extending you credit, you should simply refuse. For example, if a landlord requests a personal guarantee on a lease, offer a larger security deposit instead. Or, you can negotiate so that after two years of prompt payment, your personal guarantee is not necessary. If you decide to sell your business, keep in mind that your personal guarantee on the lease will continue after you assign your lease to the new owner.

Believe it or not, building a credit rating for your company is easier than it is for yourself. Start with a bank debit card, a secured loan and a gasoline credit card. After being in business a year, you may be able to get a bank line of credit, retail store credit card or American Express account. You may want to become a member of Dunn & Bradstreet to help build your corporate credit rating. Remember, the more credit your business has, the less you are required to give a personal guarantee.

The Role of Insurance

Insurance should never be overlooked as a means of protection. Insurance will cover many claims of a tortious nature (slip and fall, negligence, etc). The fact that you have insurance to cover these types of claims will help if your company is undercapitalized. If you do not have insurance and someone who is injured sues your corporation, a court may think you were not playing fair. This is particularly important if your business is engaged in activities that are dangerous or hazardous to the public.

Insurance will not typically cover breach of contract claims, but courts are less likely to set aside a corporation for these types of debts. However, claims such as sexual harassment, employment discrimination, wrongful termination and fraud are almost never covered by insurance.

Another benefit of insurance is that the duty of an insurance company to defend (pay for your legal defense) is much broader than its duty to indemnify (pay for a judgment against you). Legal fees alone can be painful, especially for frivolous lawsuits, even if you win in court. They rarely award the defending party legal fees and the plaintiff’s lawyer is often working on a contingent-fee basis, so that the plaintiff himself has nothing to lose by suing your company.

The following is a brief summary of available insurance for your corporation’s protection:

General Business Liability Insurance

This type of insurance can be reasonable to purchase and will cover a wide range of lawsuits from personal injury claims to copyright violations. Obviously, the higher the deductible, the cheaper the insurance. It may be worthwhile to keep an insurance policy with a large deductible and high limits to substitute for having to keep excess capital in your corporation.

Malpractice Insurance

Lawyers, doctors, engineers, architects, real estate brokers and other professional can obtain malpractice or errors & omissions insurance. This insurance covers goof ups that you and your employees make in dealing with clients. This insurance can be very expensive, depending upon the kind of business that you are involved in. In addition, the coverage is weak because the policies are often claims made; that is, they only covers claims made in the year the policy is in effect. Regular liability insurance will cover you if you are sued years later for events that occurred during the policy period. In many states, the statute of limitations for malpractice is six years, so a lawsuit filed years later will not be covered if you do not maintain continuous coverage.

Umbrella Liability Insurance

An umbrella policy is one that kicks in after all other underlying coverage is exhausted. For example, if you have a general liability policy with $100,000 and a covered judgment is rendered against your corporation for $500,000, the umbrella policy kicks in the extra $400,000. Umbrella insurance does not cover other claims that are otherwise not insured (e.g., breach of contract claim). Most insurance companies require that you maintain all of your insurance policies with their company before they will issue an umbrella policy. Umbrella policies are quite reasonable, and can cover your business for up to several million dollars.

Finally, keep in mind that insurance companies are very good at collecting premiums and denying claims. I have watched many small businesses go bankrupt in the process of suing an insurance company to pay a claim. While insurance is a necessary part of doing business, it should not be your ultimate security blanket.

Spread Out Your Risk

An LLC is good for protecting your assets from creditors unrelated to the business. If you have an LLC that has substantial assets, these assets are protected if you are sued for business unrelated to the LLC. As we discovered in chapter 4, a creditor's remedy is generally limited to a charging order.

The problem here is: What if your LLC is sued? For example, if your LLC holds title to an apartment building, your stock portfolio and a boat, you put all of those assets at risk. You should not contaminate your low-risk assets with high-risk assets. Spread out your risk as much as possible.

Using Multiple LLCs for Holding Real Estate

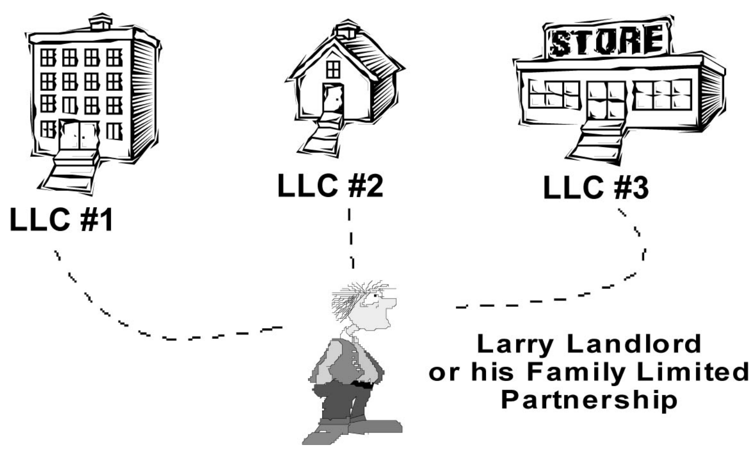
From our earlier discussion in chapter 5, we learned that single- member LLCs require no additional tax reporting. This is because the single-member LLC is disregarded for federal income tax purposes. So, for example, if you owned a rental real estate unit in your own name, transferring title to a single-member LLC would not change your tax reporting. If you reported the income and expenses on schedule E of your federal income tax return, you would continue to do so, even though title has changed.

The single-member LLC makes dividing up rental real estate extremely easy. Each property can be held in a separate LLC, with the sole member being you, your family limited partnership or another LLC. This will provide you with additional liability protection, without the hassle of extra tax reporting. Each LLC does not need a separate federal tax ID number.

If a tenant on one property sues the owner (the LLC), his remedy will be limited to the equity in that property. The other properties will be safe. Of course, this requires that each LLC be a separate, valid entity. Essentially, each LLC will be subsidiary for liability purposes, but just another branch of the LLC's sole member for tax purposes.

Creating Multiple LLC Subsidiaries

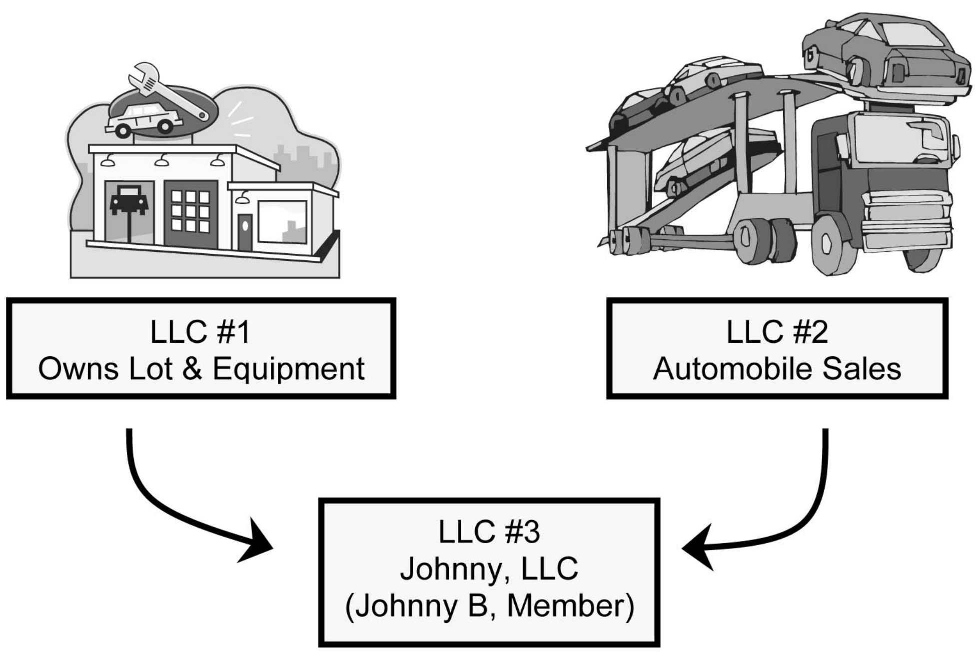
A corporate subsidiary is a corporation whose stock is owned by another corporation, called the parent. General Motors has several subsidiaries: Pontiac, Cadillac, Chevrolet, etc. Each corporation is a separate legal entity that files its own tax return. If one subsidiary is sued, the parent corporation is not liable, neither are any of the other subsidiaries. This type of operation spreads out the risk, but requires additional tax reporting.



A single-member LLC subsidiary can be created for each line of business your business does, without the need for additional tax reporting. For example, if you have another LLC, partnership or corporation which has several lines of business, each can be separated into its own LLC, the parent (sole member) being another entity. If one LLC were sued, the sole member would not be liable, nor would the other LLC subsidiaries.

Example: *Johnny Bigmouth's Used Cars, owned and run by Johnny Bigmouth, fixes and sells automobiles. The business assets consist of a car lot* *and a substantial amount of equipment for servicing and repairing automobiles. If Johnny simply formed an LLC for the business, a suit against the company would probably not result in personal liability against Johnny, the sole shareholder. However, it could wipe out the company and all its assets.*

Johnny could create two single-member LLCs: one to own the land (LLC#1), and one to run the car business (LLC#2). LLC#1 would lease the land and equipment to LLC#2. Since both LLCs are single-member, all of the income would be reported on Johnny's personal income tax return. However, if LLC#2 were sued in relation to the business, the land would not be subject to attachment by the creditors of LLC#2. Johnny could further protect himself from liability by making the sole member of LLC#1 and LLC#2 a third company, LLC#3 (see diagram below).



The Series LLC

As of this printing, 11 states have adopted the series LLC, which may be the best thing since sliced bread for the scenarios discussed above. A series LLC must be organized in a state that has a series statute (e.g., Delaware), then registered as a foreign entity in the state in which you are using it (assuming that state does not have its own series statute).

A series LLC is the same as any other LLC, except that it can form different series or cells that can either hold assets or do different lines of business. Each series has managers and members that can be the same or different than the main LLC. By default, it is set up so that the members and managers of all the series are the same as the main LLC. Each series acts like a separate, subsidiary, single-member LLC. However, each series does not require a tax ID number or a separate filing with the state (except in Illinois). Thus, there is only one main entity that files a tax return and annual report to the state. And, properly used, you can have multiple separate series and use just one bank account for the main company to collect and disburse funds.

Because the series LLC statutes are different from state to state, there are no standard forms we can provide with this course. Furthermore, practical issues involved in the series LLC are ever-evolving, and should require the counsel of a qualified attorney (like www.bronchicklaw.com).

Chapter Summary

- Operate as a legitimate entity.
- Follow the corporate formalities diligently, or suffer the consequences.
- Don't commingle funds.
- Keep your company capitalized and consider liability insurance.
- Spread out your risk.

ABOUT THE AUTHOR

William Bronchick is an attorney, active real estate investor, and best-selling real estate author. He has appeared on countless media outlets including CNBC, Fox, NBC and has been featured in publications such as *Wall Street Journal*, *Investor's Business Daily*, *USA Today*, *TIME Magazine* and dozens of other prestigious media outlets. He is admitted to practice law in New York and Colorado, and currently lives in Denver, Colorado with his family.